Precision Wires India Ltd

Concall Tracker · Q2-2027 update · Prepared 6 Nov 2026 · Ticker: PRECWIRE (NSE) / 523539 (BSE) · Builds on the Q1-2027 report · NO-CONCALL PATH

> **No concall transcripts were available on Screener. This report is based on a global web deep-dive.** Precision Wires does not hold earnings calls. Q2 FY27 figures come from the quarterly results as captured in Screener.in's tables (Sep 2026 quarter); news coverage of the results had not appeared at the time of writing. **Plain-word key:** winding wire = thin insulated copper wire wound inside transformers, motors and appliances. CTC = a premium bundled copper conductor for big power transformers. Conversion model = customers effectively pay for the copper and Precision Wires earns a fee per tonne, so most "sales" is copper passing through. MT/PA = tonnes of capacity a year.

1. Snapshot

What the business does: India's largest maker of copper winding wire, sold to makers of transformers, motors and appliances, plus premium CTC conductors for large power transformers. Because copper cost is passed on, headline margins look thin; the real money is the conversion fee per tonne.

Number	Value	What it means
Market value	~₹7,360 cr	The market's price tag on the company (share ~₹401), about where it was last quarter.
Price-to-earnings (P/E)	~40x	You pay about ₹40 for each ₹1 of yearly profit. Rich for a thin-margin converter.
Q2 FY27 revenue	~₹1,972 cr	Jul-Sep 2026 sales, up 59% on ₹1,237 cr a year ago. More tonnes plus dearer copper flowing through.
Q2 FY27 operating profit	~₹102 cr	Up 46% on last year. Margin about 5.2%, better than Q1's 4.8% but below last year's ~5.7%.
Q2 FY27 interest cost	~₹33 cr	More than double last year's ₹15 cr and Q1's ₹14 cr. This is what ate the profit growth.
Q2 FY27 net profit	~₹43 cr	Up only about 19% on last year's ₹36 cr, and a bit lower than Q1's ₹46 cr. A clear slowdown from the 70%+ jumps of recent quarters.
Return on capital (ROCE)	~33%	Earns about ₹33 a year on each ₹100 tied up. Still genuinely high.

2. Coverage

NO-CONCALL PATH. Sources this quarter: Screener.in quarterly tables (Sep 2026 quarter); Sahi (Zaroli trial production and land purchase, 29 Oct 2026); Angel One and HDFC Sky coverage of the Zaroli plant; Sahi Q1 FY27 results coverage. Backstory (CARE Ratings reports, annual reports, FY26 and Q1 FY27 results) carried forward from the Q4-2026 and Q1-2027 reports.

Latest update highlights - Q2 FY27 (Jul-Sep 2026)

- **Sales kept racing.** Revenue ~₹1,972 cr, up 59% on last year, another record. H1 sales ~₹3,750 cr, up about 59%.
- **Profit didn't keep up.** Net profit ~₹43 cr, up about 19%, and below Q1. Operating profit grew 46%, but interest cost more than doubled to ~₹33 cr. Plain read: the business is earning more, but more of it is going to lenders. Our read is that this ties to the new borrowing approved last quarter (₹150 cr of 12% convertible debentures and a ₹200 cr working-capital line) and bigger copper stocks at higher prices. The company hasn't explained it.
- **Margin steadied.** Operating margin ~5.2%, up from Q1's 4.8% low, still a touch under last year.
- **Zaroli copper plant:** trial production of copper cathode from scrap began on 17 Sep 2026. Reports in late October still describe it as trials, with full commercial output targeted for Oct-Dec 2026 subject to final approvals. The company also bought ~2 acres more land at Zaroli for ~₹3.6 cr (12 Oct).

Business mix & capacity. Exports about 12% of sales (last disclosed figure); no newer split. Plain read: almost nine-tenths of sales are in India. Capacity about 61,000 MT/PA, heading to ~69,000 MT/PA by FY28 after the Silvassa addition. Utilisation not disclosed, though the steady capacity additions suggest existing lines are well used.

★ Since our last report

Builds on the Q1-2027 report (Q1 FY27 results, 10 Aug 2026). Prior verdicts: trigger YES, consistency YES.

Prior read	What we said then	What's new	Movement
Trigger: YES	Capacity-led volume growth on the grid boom.	Sales +59% again; operating profit +46%.	Confirmed
Consistency: YES	Zaroli trials on time; capacity on schedule.	Trials running; full output still targeted for Q3 FY27.	On-track
Thin margins	Slipped to 4.8% in Q1.	~5.2% in Q2.	Improving
Funding / borrowing	New convertibles and a working-capital line; watch dilution.	Interest cost more than doubled; profit growth slowed to ~19%.	Slipping
Zaroli margin kicker	Trials just started.	Still in trials; no benefit visible in Q2.	Too-early

Verdict change: both unchanged at YES. The volume engine is fine. What changed is that funding costs are now eating into profit, so the copper plant has to deliver to get profit growth back up.

★ 3. Earning-trigger thesis

Precision Wires grows by adding wire capacity year after year and filling it, riding India's spending on power grids and renewables, which needs the big transformers that use its premium wire. That's still showing in sales. The next leg is the Zaroli plant: making its own pure copper from scrap should cut raw-material cost and lift margins. Until it does, faster growth means more copper stock to fund, and this quarter showed what that costs.

Trigger	What the record says	Evidence so far	Horizon	Strength	Change since last report
Capacity + volume	~61,000 to ~69,000 MT/PA by FY28.	Q2 sales +59%.	Now to FY28	Strong	unchanged
Grid / transformer demand	Large transformer build-out needs CTC wire.	Sales growth well ahead of the market.	Multi-year	Moderate-Strong	unchanged
Zaroli copper plant	~₹240 cr plant refining scrap into cathode.	Trials since 17 Sep; full output targeted Q3 FY27.	FY27-28	Unproven	unchanged, still in trials
Profit conversion	Scale should lift profit faster than sales.	Q2 profit +19% vs sales +59%.	Ongoing	Weak this quarter	↓ interest cost jumped

4. Management-consistency scorecard

Judged from filings, rating reports and results (there are no calls to check against).

Period	What was signalled	What actually happened	Verdict
FY24 to FY26	Capacity 39,400 to ~61,000 MT/PA.	Hit at each step, on schedule.	Delivered
FY23 to FY26	Scale-led profit growth.	FY26 profit +72%; Q1 FY27 +71%; Q2 FY27 +19%.	Delivered, slowing
Jul 2026	Zaroli trials in Q2 FY27.	Began 17 Sep 2026.	Delivered
Aug 2026	Zaroli full output in Q3 FY27.	Still in trials as of late Oct.	Too-early
Ongoing	Keep borrowing low.	Interest cost more than doubled.	Partly

Narrative drift: none. The story is the same as two years ago: add capacity, sell into the transformer boom, then make our own copper. Dates have been met so far. The weak spot is still disclosure. No calls, no product split, no utilisation number and no explanation for the jump in interest, so investors are left reading tables.

5. Bottom line

Durable earning trigger? → YES

vs last quarter: unchanged

The volume engine is still running hard and more capacity is coming to FY28. But Q2 is the first quarter in a while where profit badly lagged sales, because financing costs jumped. The trigger is intact, but the margin story now leans on Zaroli. If the copper plant reaches full output this quarter and margins lift, the gap closes. If not, a P/E near 40 looks stretched for a business whose profit growth just slowed sharply.

Management consistent? → YES

vs last quarter: unchanged

Nothing promised has slipped. Capacity and the Zaroli trials arrived when signalled. The marks against them are the same as last time, only louder: thin disclosure and heavier, costlier funding that will also dilute shareholders when the debentures convert.

NO-CONCALL web deep-dive, information published up to 6 Nov 2026. Sources: Screener.in quarterly and snapshot tables; Sahi (Zaroli, 29 Oct 2026; Q1 FY27 results); Angel One and HDFC Sky Zaroli coverage; Q1-2027 and Q4-2026 concall-tracker reports. Figures as reported in those sources. Not investment advice. Do your own due diligence.